

Virgin Mobile

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Team Number: 11

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Problem Statement

The core problem confronting Dan Schulman and Virgin Mobile USA is the selection of a **financially sustainable pricing strategy** that simultaneously enables successful entry into the highly **saturated, mature U.S. cellular market** by capturing the underserved, anti-contract **youth segment (ages 15–29)**. Schulman must resolve the fundamental conflict between the **Virgin brand identity**.

Specifically, the dilemma centers on three interlocking constraints:

- **Brand Integrity vs. Pricing Complexity:** Adopting the radical, **contract-free (prepaid) model** strongly aligns with the youth segment's distrust of the industry's complex plans and hidden fees. However, this model faces industry predictions of a **catastrophic 6% monthly churn rate**, which could prevent the company from achieving a positive **Customer Lifetime Value (LTV)** and recouping its necessary acquisition costs.
- **Acquisition vs. Retention:** The decision must support the aggressive goal of achieving **1 million subscribers** by the end of the first year, yet any strategy that eliminates the industry-standard one-to-two-year service contract risks the immediate and unmanageable outflow of customers.
- **Competitive Reaction:** The chosen pricing strategy must be differentiated enough to break through the \$1.8 billion in competitive advertising clutter, yet not so disruptive that it provokes a damaging price war response from the established, deep-pocketed national carriers (Verizon, AT&T, Cingular).

Alternative Actions

Virgin Mobile acknowledged the fact that it is useful to fully understand all aspects of the market and potential offerings to seat themselves in the most needed target audience. This is very apparent when it comes to pricing. Throughout Dan Schulman's journey in understanding the best move for the company he came up with several alternatives for pricing the phone plans.

- **Cloning the Industry Prices:** In the US where Prepaid plans have not become popular at the time, it could be appealing to consumers, especially teenagers and college students to take the free giveaways and other key benefits through MTV yet keep the pricing competitive. This would include contract-based pricing, which was the most common form of payment. But the struggle remained, the target market, they didn't use their cell phones enough to justify the cost of matching industry prices. This may be appealing but ultimately may not retain its target customers. This would be the safest, and easiest option to communicate.
- **Price Below the Competition:** Where contract plans kept minute usage standard, Virgin mobile thought to take advantage of the lack of phone usage from the younger generation. This was through lowering usage cost in off-peak hours, lowering the overall cost of a plan below competitor pricing. This offers the benefit of keeping consumer costs low, enticing consumers to utilize the available capacity of phone plans at a lower cost and possess this "fashion accessory". Though this seems favorable, it forces limited usage, neglecting those who need it during peak hours, and maintains a contract-based agreement. This though potentially cheaper may not entice customers and still may lead to hidden fees and feed off customer confusion. By pricing below the competition, it is the most straight forward and cheapest positioning.

- **A Whole New Plan:** When trying to win over younger people, Virgin Mobile found a third course of action. This was to find a way to shorten or eliminate contracts, and transition to a pre-paid pricing model. With pre-paid plan still being a relatively new concept. This offers those with bad credit or minimal income to pay without worry. In this pre-paid model, they thought to offer Handset subsidies. This would be made possible by considering the cost of the mobile device as a part of the customer acquisition cost all while reducing hidden fees, and off-peak hours. The goal with this alternative is to be as transparent as possible, while enticing the customer with increased value at a lower cost. By eliminating the need for credit checks and allowing the flexibility of a pre-paid plan with clarity, this would attack several of the largest pain points of the target customer. This appears to be the riskiest of all the alternatives.
- **Hybrid Approach:** Another alternative for Virgin Mobile is to not fully subsidize the devices but offer unique MTV or VirginXtras offerings. This would encourage the customers to maintain their plan to utilize the additional offerings. Ultimately, this would keep customer acquisition costs low, increase pre-paid retention as well as fit the retail strategy. With this alternative, the pre-paid model would remain to eliminate the contract-based payments but would incentivize maintaining the plan for the benefits.

Recommended Action

The recommended course of action is to create a Whole New Plan

Virgin Mobil should differentiate itself with a new pricing strategy instead of cloning prices or undercutting competitors. Virgin Mobil would have the opportunity to offer simple and flexible pricing that would resonate with young customers. This approach can directly relate to 15–29-year-olds. This age group has inconsistent usage and a need for flexibility. This would allow Virgin Mobile to capitalize on their MTV partnership and encourage loyalty from various features.

- **No contracts:** Eliminating contracts can help customers under the age of 18. This would allow Virgin Mobile to provide affordable options to those with inconsistent usage or poor credit.
- **Transparent Pricing:** Combine taxes and fees at a flat rate. Also avoid hidden charges that consumers dislike. This can create a “what you see is what you get” tactic.
- **Redefine Off-Peak Hours:** Make off-peak hours start earlier (7:00pm) to better align with youth customers. This would make plans feel more relevant to teenagers and college students.

Qualitative Defense

Virgin Mobile USA's strategy was a logical and calculated plan to enter the saturated U.S. mobile market by targeting the neglected youth segment (ages 15-29). Instead of competing directly with established giants, Virgin created a unique value proposition tailored to this niche. This involved an exclusive partnership with MTV and unique features called "VirginXtras" that transformed the phone into a lifestyle accessory.

Crucially, they rejected the industry's confusing contract-based pricing in favor of a simple, transparent, prepaid model. This built trust and lowered entry barriers for their target audience. By distributing through

mass-market retailers like Target, they aligned with youth shopping habits and lowered customer acquisition costs. This cohesive strategy allowed them to compete effectively on brand authenticity and customer trust, rather than getting into a price war they couldn't win.

Weaknesses of Other Alternatives:

- **Alternative 2 (Cloning the Industry Prices):** Adopting the industry-standard "bucket" system, even with better off-peak hours, would have been a strategic failure. It would not have addressed the core problem, which was the target market's deep distrust of confusing plans and hidden fees. This approach would have failed to differentiate the Virgin brand, making it just another complicated carrier, and it would have been incompatible with their simple, self-serve retail strategy in stores like Target.
- **Alternative 3 (Pricing Below the Competition):** Simply undercutting the competition's prices while using the same flawed bucket system would have been extremely risky. This would have invited a price war with established national carriers who had vastly larger budgets—a war Virgin Mobile could not win. Furthermore, it would still be based on a pricing model customers found confusing and dishonest, undermining the goal of building a brand on trust and transparency.

Quantitative Analysis

The viability of the Recommended Action – **WHOLE NEW PLAN** is proven by calculating the **Customer Lifetime Value (LTV)**.

$$LTV = \frac{M}{r} - AC$$

Core Financial Calculations

- **Target Monthly Margin (M):** Based on the ideal 20 cents/minute price point and 200 minutes of usage (ARPU: \$40.00) and given costs (CCPU: 45%), the monthly margin generated by the average customer is **\$22.00**.
- **Total Acquisition Cost (AC):** By leveraging low-commission retail channels, Virgin dramatically reduces the cost to acquire a customer. The calculated total Acquisition Cost (AC) is **\$100.00**, comprised of \$60 (Advertising per Gross Add) + \$30 (Low Sales Commission) + \$10 (Handset Subsidy).
- **Max Allowable AC:** Given the 6% monthly churn rate, the maximum AC Virgin can sustain and still break-even is **\$342.86**.

The resulting LTV of **\$242.86** is definitively **positive**, confirming the financial viability of the radical "Whole New Plan."

- **Mitigation Success:** The analysis proves that the high **6% monthly churn rate** is successfully overcome by the low **\$100 Acquisition Cost**. By avoiding the industry's average AC of \$370, Virgin's strategy of trading financial security for mass acquisition efficiency is sound.
- **Validation of the Brand:** The positive LTV validates the entire brand-driven business model. Every new subscriber acquired contributes profit, supporting Schulman's aggressive growth goals and proving that the brand's ethical, anti-establishment mission can be the foundation of a financially robust company

Appendices

Appendix A: Core Financial Calculations

Financial Metric	Calculation Basis	Result
Target Monthly Margin (M)	20 cents/min for 200 mins usage (ARPU \$40.00) minus 45% CCPU.	\$22.00
Total Acquisition Cost (AC)	\$60 (Advertising) + \$30 (Low Commission) + \$10 (Subsidy)	\$100.00
Max Allowable AC (Breakeven Point)	Based on 6% Churn (Max AC = $M / (1-r+i)$)	\$342.86
Customer Lifetime Value (LTV)	$LTV = 1 - r + iM - AC$	\$242.86

Appendix B: LTV and Financial Sensitivity

Scenario	Monthly Churn Rate (λ)	Total AC	LTV (Monthly)
Industry Average (Contract)	2.00%	\$370.00	\$717.38
VMUSA - Recommended (Prepaid)	6.00%	\$100.00	\$242.86

Note: The acquisition cost for the recommended plan (\$100) is drastically lower than the industry standard (\$370), which successfully mitigates the high churn rate.

Appendix C: Key Calculation Ratios

1. **Monthly Margin (M):** $ARPU - CCPU = \$40.00 - \$18.00 = \$22.00$
2. **Max Allowable AC:** $1 - 0.94 + 0.00417\$22.00 \approx \342.86
3. **Final LTV:** $\$342.86 - \$100.00 = \$242.86$